

Part I: Choose the Best Answer from the Following Questions

1. _____. Which of the following governmental unit uses modified accrual basis of accounting?
 - A. Debt service funds
 - B. Pension trust funds
 - C. Enterprise funds
 - D. Internal service funds
 - E. All of the above
2. _____ delivering centralized service to the public entity is concerned with _____.
 - A. Investment trust fund
 - B. Internal service funds
 - C. Enterprise fund
 - D. Special revenue funds
3. _____ Which of the following is not correct statement?
 - A. Modified Accrual Basis is used for non-exchange transaction
 - B. Permanent funds are legally restricted in principal but earnings
 - C. Taxation most of the time is characterized for Gov.tal units.
 - D. Accrual basis applied for heavily financed by tax
4. _____ Delivering centralized service to the public entity is concerned with _____.
 - A. Investment trust fund
 - B. Internal service funds

C. Enterprise fund

D. Special revenue funds

5. _____. Which of the following criteria is not used to classify budget in to recurrent & capital budget?

A. Expenditure period

B. Source of finance

C. Nature of Expenditure

D. Objective of Expenditure

E. All

6. _____. All of the following are deficit financing methods except?

A. Sale of public Property

B. Borrowing from central bank

C. Use from available accumulated cash balance

D. Issuing new currency

7. _____. The format that organizes the budget data is known as _____.

A. Line item budget

B. Budget structure

C. Budget year

D. Fiscal year

E. All

8. _____. Which of the following is/are the current parameter of Ethiopian Regional subsidy?

- A. Population Growth
- B. Development level
- C. Budget utilization
- D. Revenue generating Capacity
- E. All but C
- F. All of the above

9. _____. Which of the following is not the common identification for both recurrent & capital budget?

- A. Expenditure budget
- B. Prepared by line item budget
- C. Prepared for forecasted fiscal year
- D. All

10. _____. Which of the following is/ are correct about Budget Deficit?

- A. Financed from external & internal source
- B. Determined by Total revenue minus Total expenditure
- C. It is the excess of expenditure over revenue
- D. It is the excess of revenue over expenditure
- E. All but D

11. _____. The standard for determining legal and administrative compliance is concerned with?

- A. Reporting & Evaluation
- B. Planning

C. Control & Administering

D. All but C

12. _____. An Alternative Budgetary Approaches Which Deals with broad planning and costs of _____ activity is called _____.

A. Planning-program-budgeting

B. Performance budgeting

C. Zero-base budgeting

D. Integrated budgeting& Expenditure

E. Object-of-expenditure budgeting

13. _____. One of the following is /are the source of finance for General budget which is used for general governmental activities.

- A. General Fund,
- B. Special Revenue Funds
- C. Debt Service Funds
- D. Fiduciary Funds
- E. All but D
- F. All of the above

14. _____. The Type of government organization which provides only single service called _____.

- A. Federal Government
- B. Special purpose Bodies
- C. General purpose sub divisions
- D. Public corporations
- E. All
- F. None of the above

15. _____. Under the modified accrual basis of accounting, revenues should be recognized when?

- A. Measurable and available.
- B. Authorized by the budget ordinance.
- C. Earned.
- D. Collected in cash.
- E. All of the above

16. _____. Which of the following is/are not performance measurement of Government organizations?
- A. Net income
 - B. GDP
 - C. GNP
 - D. Inflation Rate
 - E. All but D
 - F. None of the above
17. _____. Which of the following funds would be used to account for an activity that provides centralized purchasing and sales of goods or services to other departments or agencies of the government on a cost-reimbursement basis?
- A. Permanent fund.
 - B. Internal service fund.
 - C. Fiduciary fund.
 - D. Enterprise fund.
18. _____. Which of the following objective of financial reporting for Gov.t & NFP organizations?
- A. Accountability
 - B. Legal Obligation.
 - C. Service efforts and accomplishments.
 - D. A&B
19. _____ Which of the following accounting basis are correctly Matched for preparing fund financial statements?

Choice	Governmental funds	Proprietary funds	Fiduciary funds
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A.	Modified accrual	Accrual	Modified accrual
B.	Modified accrual	Accrual	Accrual
C.	Modified accrual	Modified accrual	Modified accrual
D.	Accrual	Accrual	Accrual

20. _____. Capital assets used by a proprietary fund should be accounted for in the

- A. Proprietary fund and depreciation on the capital assets should be recorded.
- B. Business-type activities journal but no depreciation on the capital assets should be recorded.
- C. Governmental activities journal and depreciation on the capital assets should be recorded.
- D. proprietary fund but no depreciation on the capital assets should be recorded

21. _____. Which of the following is not true about Fund Acct?

- A. Moves from generation to generation without bankruptcy
- B. Are legally separated organization exempt from tax
- C. Aimed at maximizing social welfare
- D. All of the above

22. _____. Detail information about financial reports of the governmental entities overall Performance should be provided by:

- A. GAS
- B. FASB
- C. CAFR
- D. All
- E. None

23. _____ Which of the following statements is true?

- A.** Governments may engage in activities similar to activities engaged in by for-profit entities.
- B.** There are a limited number of different types of governments.
- C.** All governments engage in the same activities.
- D.** Managers may have a long-term focus and thereby sacrifice the short-term liquidity of the entity.

24. _____. In which of the following activities is not NFP entity to engage?

- A.* Providing educational services.
- B.* Providing health-care services.
- C.* Providing for terrorism defense.
- D.* Retail sales of cookie

25. _____. Which of the following is common to both governments and not-for-profit entities but distinguishes these entities from for-profit entities?

- A.* The budget is a legal, financial document.
- B.* Revenues are usually indicative of demand for goods or services.
- C.* There is direct matching of revenues and expenses.
- D.* There are no defined ownership interests.

26. Which of the following is NOT a purpose of external financial reporting by governments?

- A.* Assess financial condition.
- B.* Compare actual results with the budget.
- C.* Assess the ability of elected officials to effectively manage people.
- D.* Evaluate efficiency and effectiveness.
- E.* All

27. _____ Which of the following objective of financial reporting for Gov.t & NFP organizations?

- A. Accountability
- B. Legal Obligation.
- C. Safety & Stability
- D. Service efforts and accomplishments.
- E. A & B

2. _____ The classification of NGO provides service to the general Public.

- A. Private organizations
- B. Religious organizations.
- C. Charitable organizations
- D. All
- E. None of the above

3. _____ The government organization which provides commercial service called

- A. Governmental activity
- B. Trust activity
- C. Agency activity.
- D. Proprietary activity
- E. All
- F. None of the above

4. _____ The type of government organization which provides only single service called

- A. Federal Government
- B. General purpose sub divisions

- C. Public corporations
- D. Special purpose Revenue fund
- E. All
- F. None of the above

5. Governmental entities include the following:

- A. Federal government
- B. General-purpose political subdivisions (such as states, counties, cities, and towns)
- C. Public corporations and bodies corporate and politic (such as state-operated toll roads and toll bridges)
- D. All

6. The following are characteristics of Governmental organization

- A. their officers are popularly elected, or a controlling majority of their governing body is appointed or approved by governmental officials
- B. they possess the power to enact and enforce a tax levy
- C. they hold the power to directly issue debt whose interest is exempt from federal taxation

D. All

7. The following are characteristics of Governmental organization

A. receive contributions of significant amounts of resources from resource providers who do not expect equivalent value in return

B. operate for purposes other than to provide goods and services at a profit

C. Lack ownership interests like those of a business enterprise

D. All

E. None of the above

8. Federal Government Financial Reporting

A. Evaluating the entity's service efforts, costs, and accomplishments and its management of assets and liabilities

B. Assessing the impact on the nation of the government's operations and investments and how, as a result, the nation's financial condition has changed and may change in the future; and

C. Understanding whether financial management systems and internal accounting and administrative controls are adequate.

D. All

9. Not-for-Profit Organization Financial Reporting

A. the services provided by the entity and its ability to continue to provide them

B. how the entity's managers discharged their stewardship responsibilities

C. the entity's performance, Environment and Characteristics including its service efforts and accomplishments

D. All of the above

10. State and local governmental accounting differs from business enterprise accounting
- A. uses separate funds to account for its financial activities,
 - B. focuses on flows of current financial resources and uses a modified accrual basis of accounting in some funds,
 - C. incorporates budgetary accounts into the financial accounting system for some funds
 - D. All
 - E. None of the above
11. One of the characteristics of governmental-type funds
- A. Their expenditures are likely to be controlled by budgets proposed by the executive branch of government and legally adopted by the legislative branch in the form of appropriations authorizations to spend.
 - B. funds are used to account for governmental activities that operate in a manner similar to that of private-sector businesses in the sense that they charge fees for services and measure whether their revenues will cover their expenses
 - C. Used to account for resources that governments hold in a trust or agency capacity for others. "Others" might be individuals, other governments, or private organizations
 - D. All of the above
 - E. None of the above
12. Which of the following is general fund
- A. All financial resources not accounted for in some other fund; includes most day-to-day activities of government
 - B. items restricted or otherwise limited to spending for specific purposes other than debt service or capital projects

- C. Financial resources restricted or otherwise limited to spending for capital outlays, including facilities and other capital assets
- D. Financial resources restricted or otherwise limited to spending for principal and interest on general long-term debt
- E. Resources restricted to the extent that only earnings (not principal) may be used to support the government's programs

13. Which of the following is special revenue fund

- A. financial resources not accounted for in some other fund; includes most day-to-day activities of government
- B. items restricted or otherwise limited to spending for specific purposes other than debt service or capital projects
- C. Financial resources restricted or otherwise limited to spending for capital outlays, including facilities and other capital
- D. Financial resources restricted or otherwise limited to spending for principal and interest on general long-term debt
- E. Resources restricted to the extent that only earnings (not principal) may be used to support the government's programs

14. Which of the following is Permanent fund

- A. financial resources not accounted for in some other fund; includes most day-to-day activities of government
- B. items restricted or otherwise limited to spending for specific purposes other than debt service or capital projects
- C. Financial resources restricted or otherwise limited to spending for capital outlays, including facilities and other capital

- D. Financial resources restricted or otherwise limited to spending for principal and interest on general long-term debt.
- E. Resources restricted to the extent that only earnings (not principal) may be used to support the government's programs

15. Which of the following is project fund

- A. financial resources not accounted for in some other fund; includes most day-to-day activities of government
- B. items restricted or otherwise limited to spending for specific purposes other than debt service or capital projects
- C. Financial resources restricted or otherwise limited to spending for capital outlays, including facilities and other capital
- D. Financial resources restricted or otherwise limited to spending for principal and interest on general long-term debt
- E. Resources restricted to the extent that only earnings (not principal) may be used to support the government's programs

16. Which of the following is true enterprise fund

- A. Enterprise Resources used to supply goods and services, for a fee, to users who are entirely or primarily external to the governmental unit
- B. Resources used to supply goods or services, based on cost reimbursement, within the governmental unit and to other governments
- C. Financial resources restricted or otherwise limited to spending for principal and interest on general long-term debt
- D. Resources restricted to the extent that only earnings (not principal) may be used to support the government's programs

- E. Financial resources restricted or otherwise limited to spending for capital outlays, including facilities and other capital

17. Enterprise Funds must be used if any one of the following criteria is met:

- A. The activity is financed with debt that is secured solely by a pledge of the net revenues from the activity's fees and charges.
- B. Laws or regulations require that the costs of providing services, including capital costs
- C. The activity's pricing policies set fees and charges that are designed to recover its costs, including capital costs (such as depreciation or debt service).
- D. All of the above

18. Which of the following is true Pension Trust fund

- A. Resources held in trust for employee retirement plans and other employee benefit plans
- B. Resources of an external investment pool managed by a sponsoring government
- C. Resources of all other trust arrangements maintained for benefit of individuals, other governments, and private organizations
- D. Resources held in a custodial capacity that must be disbursed according to law or contractual agreement
- E. Sales or property taxes collected by a government on behalf of another government, Social Security taxes withheld from employees and kept separately pending distribution to the federal government

19. Which of the following is true investment Trust fund

- A. Resources held in trust for employee retirement plans and other employee benefit plans
- B. Resources of an external investment pool managed by a sponsoring government
- C. Resources of all other trust arrangements maintained for benefit of individuals, other governments, and private organizations

- D. Resources held in a custodial capacity that must be disbursed according to law or contractual agreement
- E. Sales or property taxes collected by a government on behalf of another government, Social Security taxes withheld from employees and kept separately pending distribution to the federal government

20. Which of the following is true agency fund

- A. Resources held in trust for employee retirement plans and other employee benefit plans
- B. Resources of an external investment pool managed by a sponsoring government
Examples: The portion of an external investment pool that belongs to other governments
- C. Resources of all other trust arrangements maintained for benefit of individuals, other governments, and private organizations
- D. Resources held in a custodial capacity that must be disbursed according to law or contractual agreement

21. Which of the following is true Private-Purpose Trust fund

- A. Resources held in trust for employee retirement plans and other employee benefit plans
- B. Resources of an external investment pool managed by a sponsoring government
- C. The portion of an external investment pool that belongs to other governments
- D. Resources of all other trust arrangements maintained for benefit of individuals, other governments, and private organizations
- E. Resources held in a custodial capacity that must be disbursed according to law or contractual agreement

22. Which fund would recognize a transaction in which a municipal electric utility paid \$150,000 for new equipment out of its earnings?

- A. Enterprise Fund

- B. General Fund
- C. Capital Projects Fund
- D. Special Revenue Fund
- E. All

23. Which of the following statements is true regarding the accounting measurement implications of the current financial resources measurement focus and modified accrual basis of accounting?

- A. Capital assets are recorded as assets when they are acquired.
- B. Revenues are recognized when they are earned.
- C. Expenditures and liabilities for compensated absences are recognized when the liabilities come due for payment as employees resign or retire.
- D. A fund liability is recorded upon the receipt of proceeds from the sale of bonds.
- E. All

24. A city maintains a motor pool for all city-owned vehicles. It charges city agencies as the vehicles are used, so that the charges cover the cost of operating and maintaining the vehicles. Which fund should the city use to account for pool revenues and expenses?

- A. General Fund
- B. Internal Service Fund
- C. Special Revenue Fund
- D. Enterprise Fund
- E. None

25. The primary focus in accounting and reporting for governmental funds is on:

- A. income determination

- B. flow of financial resources**
 - C. capital maintenance
 - D. transfers relating to proprietary activities
26. The governmental fund measurement focus is on the determination of: Income Financial position flow of financial
- A. yes yes no
 - B. no yes no
 - C. no no yes
 - D. no yes yes
27. A budgetary fund balance - reserved for encumbrances in excess of a balance of encumbrances control indicates
- A. an excess of vouchers payable over encumbrances
 - B. an excess of purchase orders over invoices received
 - C. a recording error
 - D. an excess of appropriations over encumbrances
28. The encumbrances control account of a governmental unit is debited when:
- A. goods are received
 - B. a voucher payable is recorded
 - C. purchase order is approved
 - D. the budget is recorded
29. Addis Ababa city issued a purchase order for supplies with an estimated cost of 5000. when the supplies were received, the accompanying invoice indicated an actual price of 4950. What amount should oak debit (credit) to budgetary fund balance - reserved for encumbrances after the supplies and invoice are received?
- A. 5000 B. (50) C. 4950 D. 50
30. Encumbrances outstanding at year end in a state's general fund should be reported as a :
- A. liability in the general fund
 - B. fund balance designation in the general fund
 - C. fund balance reserve in the general fund
 - D. liability in the general long term debt account group

31. Inter period equity is an objective of financial reporting for governmental entities. According to the governmental accounting standards board, its inter period equity fundamental to public administration? Is it a component of accountability?
- A. yes yes
 - B. no no
 - C. yes no
 - D. no yes
32. Which of the following statements is correct regarding comparability of governmental financial reports?
- A. comparability is not relevant in governmental financial reporting
 - B. differences between financial reports should be due to substantive differences in underlying transactions or the governmental structure
 - C. selection of different alternatives in accounting procedures or practices account for the differences between financial reports
 - D. similarly designated governments perform the same function
33. Received bills from an internal service fund for using city owned vehicles
- A. inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
34. Transferred cash to start an enterprise fund. The enterprise fund does not have to return cash to the general fund
- A. Inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. inter fund reimbursement
35. Received cash from a social revenue fund that was discontinued
- A. interfund loan
 - B. interfund service provided and used
 - C. Interfund transfer
 - D. interfund reimbursement

36. Transferred cash to a capital projects fund to help construct a building
- A. Inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
37. Transferred cash to a debt service fund to pay interest and principal of general long term debt
- A. Inter fund loan.
 - B. . inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
38. Transferred cash to the pension trust fund representing the employers contribution toward the pension of general fund employees
- A. interfund loan
 - B. interfund service provided and used
 - C. interfund transfer
 - D. Inter fund reimbursement
39. Transferred resources to an enterprise fund. It is expected that these resources will be repaid with interest
- A. Inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
40. Transferred cash to a social revenue fund. The special revenue fund incurred and paid expenditure on behalf of the general fund
- A. Inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
41. Received cash from an internal service fund. The cash received represented repayment of an advance made during the previous year

- A. Inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
42. Received bills from an enterprise fund using public parking facilities
- A. Inter fund loan
 - B. Inter fund service provided and used
 - C. Inter fund transfer
 - D. Inter fund reimbursement
43. Which of the following steps in the acquisition of goods and services occurs first?
- A. Appropriation
 - B. Encumbrance
 - C. Budget
 - D. expenditure
44. What account is used to earmark the fund balance to recognize the contingent obligations of goods ordered but not yet received?
- A. Appropriations
 - B. Encumbrances
 - C. Obligations
 - D. fund balance - reserved for encumbrances
45. The carson city general fund issued purchase orders of 630000 to vendors and supplies. Which of the following entries should be made to record this transaction? encumbrances 630000 budgetary fund balance - reserved for encumbrances 63000. The following balances are included in the subsidiary records of dogwoods parks and recreation department on march 31, 20x2
- Appropriations - supplies 7500
- Expenditures - supplies 4500
- Encumbrances - supply orders 750
46. How much doe the department have available for additional purchase of supplies?
- A. 0
 - B. 2250

C. 3000

D. 6750

47. When the estimated revenues control account of a governmental unit is closed out at the end of the fiscal year, the excess of estimated revenues over estimated appropriations is:

A. debited to fund balance – unreserved

B. . devoted to fund balance - reserved for encumbrances

C. debited to budgetary fund balance – unreserved

D. credited to fund balance - reserved for encumbrances

48. The board of commissioner of the city of elgin adopted its budget for the year ending july 31, 20x2, which indicated revenue of 1000000 and appropriations of 900000. If the budget is formally integrated into the accounting records, what is the required journal entry?

Estimated revenues control 1000000

Appropriations control 900000

Budgetary fund balance - unreserved 100000

49. Which of the following accounts of a governmental unit is credited when the budget is recorded?

A. Encumbrances

B. budgetary fund balance - reserved for encumbrances

C. estimated revenue control

D. appropriations control

50. Which of the following accounts of a governmental unit is debited when supplies previously ordered are received?

A. Encumbrances

B. budgetary fund balance - reserved for encumbrances

C. vouchers payable

D. approbations control

51. Which of the following situations will increase the fund balance of a governmental unit at the end of the fiscal year?

A. appropriations are less than expenditures and budgetary fund balance is reserved for encumbrances

B. appropriations are less than expenditures and encumbrances

- C. Appropriations are more than estimated revenue.
 - D. appropriations control
52. Which of the following accounts of a governmental unit is credited to close it out at the end of the fiscal year?
- A. appropriations control
 - B. revenue - property tax
 - C. budgetary fund balance - reserved for encumbrances
 - D. Encumbrances
53. How do Government & Not-for-Profit practices differ from business practices?
- A. different purposes in society
 - B. Management has special duty to be accountable for how resources are used in providing services
 - C. Financed by providers who do not expect benefits proportional to the resources they provide.
 - D. All
54. What are the two types of governments and what services do they provide?
- A. General Purpose
 - B. Special purpose
 - C. A and B
 - D. none
55. Characteristics of Government and Not-for-Profit Organizations
- A. owner rests in the hands of the people
 - B. People delegate power to public officials through elections
 - C. Empowered by and accountable to a higher level government
 - D. All
56. Financial Accounting Standards Accounting Board Federal Government and its agencies and departments
- A. FASAB
 - B. GASB
 - C. FASB
 - D. All
83. What are governmental financial reports primarily used for?
- A. to COMPARE actual financial results with the legally adopted budget

- B. To ASSESS financial conditions and results of operations
 - C. To ASSIST in determining compliance with finance-related laws, rules, and regulations.
 - D. All
84. characteristics of Fund Financial Statements
- A. Fiscal Accountability:.
 - B. Uses the modified accrual basis of accounting
 - C. Revenues recognized when measurable and available for spending
 - D. A and b
85. Modified Accrual
- A. Revenues recognized when measurable and available for spending
 - B. Expenditures recognized when an obligation is incurred that will be paid from currently available financial resources.
 - C. To ASSIST in determining compliance with finance-related laws, rules, and regulations
 - D. A&B
86. Functions/Programs
- A. Public Safety
 - B. Health & Welfare
 - C. Culture & Recreation
 - D. All
87. Governmental funds include:
- A. Special revenue funds
 - B. Internal service funds
 - C. Debt service funds
 - D. A and C
88. The “Hierarchy of GAAP” is established by the:
- A. Financial Accounting Standards Board.
 - B. Federal Accounting Standards Advisory Board
 - C. Governmental Accounting Standards Board
 - D. All of the above have established a hierarchy

89. The term “proprietary funds” applies to:
- A. All funds that use accrual accounting.
 - B. Enterprise and internal service funds only.
 - C. Enterprise, internal service, and private-purpose trust funds.
 - D. None of the above answers are correct.
90. The term “fiduciary funds” applies to:
- A. Enterprise and internal service funds.
 - B. pension, investment trust and enterprise funds
 - C. Enterprise, internal service, and private-purpose trust funds.
 - D. None of the above answers are correct.
91. The GASB sets accounting standards for all of the following except:
- A. State and local government
 - B. Component units owned or controlled by governments
 - C. Governmentally related not-for-profit universities
 - D. Nongovernmental not-for-profit hospital
92. Which of the following fund types is present in every general-purpose government?
- A. Permanent
 - B. Special revenue
 - C. General
 - D. Capital projects
93. Which of the following is a proprietary fund?
- A. Investment trust
 - B. Permanent
 - C. Special revenue
 - D. Internal service
94. Which of the following is not a fiduciary fund?
- A. Agency
 - B. Permanent
 - C. Pension trust
 - D. Private-purpose trust
95. Which of the following is a governmental fund?

- A. Agency
 - B. Enterprise
 - C. Special revenue
 - D. Internal service
96. Which of the following is not one of the objectives of Federal Financial Reporting, as outlined in SFFAC 1, which was issued by the FASAB?
- A. Financial reporting should enable evaluation of the success rate of programs
 - B. Financial reporting should enable evaluation of the service efforts, costs and accomplishments of the reporting entity.
 - C. Financial reporting should reveal whether financial systems and controls are adequate.
 - D. Financial reporting should demonstrate accountability with regard to raising and expending money.
97. The FASAB has the authority to establish accounting and financial reporting standards for:
- A. State and local governments
 - B. Investor owned business
 - C. Federal government
 - D. Public not-for-profits
98. The FASB has the authority to establish accounting and financial reporting standards for:
- A. Federal government
 - B. Private not-for-profits
 - C. Public not-for-profits
 - D. State and local governments
99. The GASB has the authority to establish accounting and financial reporting standards for
- A. State governments
 - B. Private not-for-profits
 - C. Federal government
 - D. None of the above
100. In order for a fund to exist, there must be:
- A. A fiscal entity; assets set aside for a specific purpose

- B. A double-entry accounting entity
- C. A & B are optional and not required
- D. Both A & B are required